

At such a time, some one industry begins to improve. Others gradually follow. There are usually some great causes like unusually high prices for crops, which exert an influence. People find themselves to be making money instead of losing it, and that the raw materials or half-finished products which they consume are advancing in price. Merchants and manufacturers begin to increase stocks. People who have money begin to make investments. During this period of advance everybody makes money and grows confident that whatever is undertaken will prove successful. A man who would hardly dare to put in his winter stock of coal one year will be found two years later quite willing to buy a coal mine, with a view of supplying the wants of the community. It takes two or three years for this change to occur, because millions of people have to experience in their own fortunes the change of conditions before they are willing to accept them as genuine.

The effect of a change on the part of a nation of 75,000,000 of people from feeling discouraged and doubtful to being confident and enterprising, is stupendous in its results upon all lines of business, including the stock market. It shows clearly how irresistible such a force becomes when it is focused upon speculative markets. It shows, too, why bull and bear markets persist as they do.

When the public mind has a well-defined tendency, either bullish or bearish, it is not easily changed. Scores or hundreds of people may change, but the mass press on in the same direction. The public mind, when it, as at present, favors the long side of the market, is not likely to alter that opinion until one of several things have occurred. The public may lose its confidence in stocks as the result of some national calamity which arrests attention and creates alarm. It may change on account of such a wave of selling of newly created stocks as prevents advance in prices and creates so many losses or permits so few profits as to tire out the public buyer. It may be checked by such an exhaustion of the supply of money as makes the carrying cost of stocks excessive, and thereby discourages trading.